



**U.S. Citizenship
and Immigration
Services**

**Non-Precedent Decision of the
Administrative Appeals Office**

In Re: 31039639

Date: JAN. 16, 2025

Appeal of Investor Program Office Decision

Form I-526, Immigrant Petition by Alien Entrepreneur

The Petitioner seeks classification as an immigrant investor pursuant to the Immigration and Nationality Act (the Act) Section 203(b)(5), 8 U.S.C. § 1153(b)(5) (2019).¹ This fifth preference (EB-5) classification makes immigrant visas available to noncitizens who invest the requisite amount of qualifying capital in a new commercial enterprise (NCE) that will benefit the United States economy and create at least 10 full-time positions for qualifying employees.

The Chief of the Investor Program Office denied the petition, concluding that the record did not establish that the required amount of capital has been made available to the business most closely responsible for job creation, that the new commercial enterprise will create at least 10 full-time positions for qualifying employees, or that the Petitioner has demonstrated indirect job creation through reasonable methodologies. The matter is now before us on appeal. 8 C.F.R. § 103.3.

The Petitioner bears the burden of proof to demonstrate eligibility by a preponderance of the evidence. *Matter of Chawathe*, 25 I&N Dec. 369, 375-76 (AAO 2010). We review the questions in this matter de novo. *Matter of Christo's, Inc.*, 26 I&N Dec. 537, 537 n.2 (AAO 2015). Upon de novo review, we will withdraw the Chief's decision and remand the matter for entry of a new decision consistent with the following analysis.

I. LAW

A noncitizen may be classified as an immigrant investor if they invest the requisite amount of qualifying capital in an NCE. A noncitizen may invest the required funds directly in an NCE or through a regional center, as the Petitioner has done in this case. Regional centers can pool immigrant

¹ On March 15, 2022, President Joseph Biden signed the EB-5 Reform and Integrity Act, which made significant amendments to the EB-5 program, including the designation of targeted employment areas (TEA) and the minimum investment amounts. See Section 203(b)(5) of the Act, 8 U.S.C. § 1153(b)(5) (2022). As the Petitioner filed his petition in December 2018, the relevant law then in existence governs this appellate adjudication.

(and other) investor funds for qualifying projects that create jobs directly or indirectly. 8 C.F.R. § 204.6(j)(4)(iii) (2019).

A noncitizen must demonstrate that they have placed their own capital at risk in the NCE. See *Matter of Ho*, 22 I&N Dec. 206, 213 (Assoc. Comm'r 1998); *Matter of Soffici*, 22 I&N Dec. 158, 165 n.3 (Assoc. Comm'r 1998) (stating that “[a] petitioner must . . . establish, pursuant to 8 C.F.R. § 204.6(e), that funds invested are [their] own”). In addition, the noncitizen must show that their invested capital did not derive, directly or indirectly, from unlawful means. 8 C.F.R. § 204.6(e). To show the lawful source of the funds, an investor must submit evidence such as foreign business and tax records or documentation identifying sources of the capital. See 8 C.F.R. § 204.6(j)(3). Bank letters or statements corroborating the deposit of funds by themselves are insufficient to demonstrate their lawful source. *Matter of Ho*, 22 I&N Dec. at 210-11; *Matter of Izummi*, 22 I&N Dec. 169, 195 (Assoc. Comm'r 1998). The record must trace the path of the funds back to a lawful source.² *Matter of Ho*, 22 I&N Dec. at 210-11; *Matter of Izummi*, 22 I&N Dec. at 195.

As required by 8 C.F.R. § 204.6(j)(4)(i), the petition must establish that the investment of the required amount of capital in a new commercial enterprise will create full-time positions for at least 10 qualifying employees within two years. See also 8 U.S.C. § 1153(b)(5)(A)(ii). For purposes of the Form I-526 adjudication and the job creation requirements, the two-year period described in 8 C.F.R. § 204.6(j)(4)(i)(B) is deemed to commence six months after the adjudication of the Form I-526.

According to 8 C.F.R. § 204.6(j)(4)(i), to show that a new commercial enterprise will create full-time positions for at least 10 qualifying employees within two years, the petition must be accompanied by:

(A) Documentation consisting of photocopies of relevant tax records, Forms I-9, or other similar documents for ten (10) qualifying employees, if such employees have already been hired following the establishment of the new commercial enterprise; or

(B) A copy of a comprehensive business plan showing that, due to the nature and projected size of the new commercial enterprise, the need for fewer than ten (10) qualifying employees will result, including approximate dates, within the next two years, and when such employees will be hired.

A petition is not required to demonstrate that 10 full-time positions for qualifying employees have already been created by the commercial enterprise. However, where the jobs have not already been created, the petition must include a comprehensive business plan demonstrating the need for at least 10 employees within the next two years. *Matter of Ho* explained that a comprehensive business plan must be sufficiently detailed to permit USCIS to draw reasonable inferences about job-creation potential. *Matter of Ho*, 22 I&N Dec. 206, at 213. Additionally, *Matter of Ho* held that a “comprehensive business plan as contemplated by the regulations should contain, at a minimum, a description of the business, its products and/or services, and its objectives.” *Id.*

² These requirements “serve a valid government interest; i.e., to confirm that the funds utilized in the [EB-5] program are not of suspect origin.” *Spencer Enterprises, Inc. v. United States*, 229 F. Supp. 2d 1025, 1040 (E.D. Cal. 2001) (holding that a petitioner had not established the lawful source of her funds because, in part, she did not designate the nature of all of her employment or submit five years of tax returns), *aff’d*, 345 F.3d 683 (9th Cir. 2003).

Under the statute and regulations, petitioners investing in a new commercial enterprise within a regional center may rely on economic methodologies to demonstrate that the investment will create indirect jobs as a result of the investment in the NCE, but such methodologies must be reasonable. *See* Appropriations Act at § 610; 8 C.F.R. §§ 204.6(e), (j)(4)(iii), (m)(7)(ii). The Petitioner must provide sufficient evidence for USCIS to determine whether methodologies used are reasonable.

Indirect jobs are those that are held outside of the new commercial enterprise but are created as a result of the new commercial enterprise. They include jobs that may be considered “economically direct,” such as jobs created directly by a job-creating entity that is not also the new commercial enterprise. They also include economically indirect jobs, such as those further down the supply chain, or induced jobs created through increased spending.

II. ANALYSIS

The Petitioner asserts eligibility based on an investment in [REDACTED] pursuant to the Immigrant Investor Program.³ On pages 5 and 6 of his petition, the Petitioner indicated that he has invested \$500,000⁴ into [REDACTED] the new commercial enterprise (NCE). The NCE proposed to pool up to \$7,000,000 from 14 immigrant investors to construct and operate a saltwater disposal/recycling facility in [REDACTED] Texas. On page 7 of the petition, the Petitioner stated that the job creating entity (JCE) was different from the NCE and identified the JCE as [REDACTED]

The Chief issued a request for evidence (RFE), identifying multiple eligibility requirements that were not sufficiently established. The Chief requested evidence that the Petitioner made a qualifying investment that was made available to the business most closely responsible for job creation, and evidence that the NCE/JCE would create at least 10 full-time positions for qualifying employees, either directly or indirectly. The Chief stated that the business plan in the record was not compliant with *Matter of Ho*, as the record did not support that it was comprehensive and credible. *See Matter of Ho*, 22 I&N Dec. 206, at 213.

In discussing the business plan in the RFE, the Chief stated that the construction timeline in the business plan (second quarter of 2019) did not appear to have been met more than three years later, casting doubt on the business plan’s credibility. The Chief also stated that the JCE did not appear to be authorized by the Texas Comptroller of Public Accounts to conduct business in the State of Texas.⁵ Additionally, the Chief noted that the Petitioner did not submit documentary evidence credibly supporting the contribution of developer equity in the project. The Chief stated, “the business plan is no longer sufficient to establish job creation because of the delay in the timeline for construction of the project and lack of available financing.” The Chief also stated that, because the information in the business plan was not credible, the economic methodology that relied on that business plan is not reasonable.

³ *See* Appropriations Act at § 610.

⁴ The Petitioner filed his petition in 2018 and asserted that the NCE would be principally doing business within a TEA. Therefore, the requisite amount of capital investment was downwardly adjusted from \$1,000,000 to \$500,000. *See* 8 C.F.R. § 204.6(f)(2) (2015).

⁵ In the RFE, the Chief stated that an “open-source search of the Texas Comptroller of Public Accounts-Taxable Entity Search did not return a listing for [REDACTED]

In response to the RFE, the Petitioner submitted additional evidence, including an updated business plan and economic impact analysis, photographs of the project's construction, permits and licenses for the project's construction and operation, master service agreements for the project, and evidence of developer equity in the project. The Petitioner explained that the Texas Comptroller made a typographical error in the name of the JCE, entering it in the database as [REDACTED] rather than [REDACTED]. The Petitioner submitted evidence that the NCE and JCE were both authorized to conduct business in Texas and that the error was being corrected.

Following the Petitioner's response, the Chief concluded that the Petitioner did not establish that the EB-5 capital is being made available to the business(es) most closely responsible for job creation, or that the NCE/JCE would create at least 10 full-time positions for qualifying employees, either directly or indirectly. Upon reviewing the business plans in the record, the Chief also determined that the business plans were not *Matter of Ho* compliant because the record lacked evidence that the project had met projected milestones for completion and operation. The Chief further determined that the Petitioner did not establish that economic methodologies used to demonstrate the creation of indirect jobs were reasonable. In making these determinations, the Chief relied on "open source searches of satellite pictures in the area of the pinned location of the map on page 5 of the Business Plan [that do not show a saltwater recycling or disposal facility] or that the JCE, [REDACTED] was located or operating in the area as of the date of this notice." However, the Chief did not identify the source of these searches, provide a link to the source, or meaningfully discuss the derogatory information they revealed. Additionally, the Chief noted that a new search of the Texas Comptroller of Public Accounts-Taxable Entity Search database reflected that the status of both the NCE and the JCE was "Franchise Tax Involuntarily Ended," and did not support that either entity was authorized to conduct business in Texas.⁶

If a decision will be adverse to a petitioner and is based on derogatory information considered by U.S. Citizenship and Immigration Services (USCIS) and of which the petitioner is unaware, the petitioner must be advised of this fact and offered an opportunity to rebut the information and present information on its behalf before a decision is rendered. 8 C.F.R. § 103.2(b)(16)(i). Here, the RFE did not identify the "open source searches of satellite pictures" relied on in the decision. As a result, the RFE did not provide adequate notice of the derogatory information that formed the basis of the Chief's decision and did not provide a meaningful opportunity for the Petitioner to address it. Additionally, pursuant to 8 C.F.R. § 103.2(b)(16)(ii), "a determination of statutory ineligibility shall be based only on information contained in the record of proceeding" which is disclosed to the petitioner. Here, a printout of the satellite images relied upon is not included in the record of proceedings.

Accordingly, we will withdraw the Chief's decision and remand the matter for further review, issuance of a new RFE, and entry of a new decision. The Petitioner should be afforded an opportunity to rebut the derogatory information that resulted in the Chief's denial.

⁶ In support of his appeal, the Petitioner submits additional evidence addressing the grounds upon which the Chief denied the petition, including evidence that both the NCE and JCE are operational and authorized to conduct business in Texas.

III. CONCLUSION

The Chief's decision is withdrawn as she did not provide the Petitioner with adequate opportunity to rebut derogatory information from outside the record of proceeding prior to making a decision, as required by 8 C.F.R. § 103.2(b)(16)(i). On remand, the Chief should consider all evidence already submitted, including the evidence and claims submitted on appeal, issue a new RFE providing adequate notice of any derogatory information considered, and enter a new decision.

ORDER: The Chief's decision is withdrawn. The matter is remanded for the entry of a new decision consistent with the foregoing analysis.